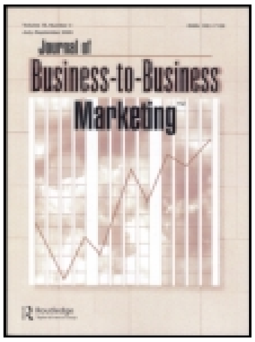


Journal of Business-to-Business Marketing

ISSN: 1051-712X (Print) 1547-0628 (Online) Journal homepage: www.tandfonline.com/journals/wbbm20

The Strategic Role of the Salesperson in Established Buyer-Seller Relationships

Harald Biong & Fred Selnes

The Strategic Role of the Salesperson in Established Buyer-Seller Relationships

Harald Biong
Fred Selnes

ABSTRACT. When the ordering function is governed by administrative arrangements and sales are regulated by long-term contracts, managers may question the necessity and the tasks of the sales function within established customer relationships. The authors examine three issues related to the role of the salesperson in established industrial buyer-seller relationships: (1) appropriate measures of salesperson performance within a relationship, (2) behaviors and skills affecting salesperson performance, and (3) the effect of salesperson performance on the relationship. The results from a survey of industrial buyers suggest that the salesperson has a significant and substantial effect on relationship continuity. They also show that the salesperson contributes to perceptions of the supplier's reliability and supplier services. The key attributes of an effective salesperson are ability to resolve conflicts, ability to develop a personal relationship with customers, and ability to facilitate exchange of information between the supplier and buyer firms. *[Article copies available for a fee from The Haworth Document Delivery Service: 1-800-342-9678. E-mail address: getinfo@haworth.com]*

Harald Biong is Assistant Professor of Marketing, Norwegian School of Management. Fred Selnes is Professor of Marketing, School of Marketing, Norwegian School of Management.

The study has been funded by a grant from the Norwegian Research Council. The authors thank Jan B. Heide at the University of Wisconsin for his valuable support in the study. They also acknowledge the valuable and insightful comments from the three anonymous *Journal of Business-to-Business Marketing* reviewers. The authors contributed equally to the article.

Address correspondence to the authors at the Norwegian School of Management, Elias Smiths vei 15, POB 580, 1301 Sandvika, Norway.

Journal of Business-to-Business Marketing,Vol. 3(3) 1996

INTRODUCTION

One of the rationales for developing long-term buyer-seller relationships is to make transactions more efficient through administrative routines and contractual arrangements (Arndt 1979; Heide 1994; Sheth and Parvatiyar 1992). When the ordering function is governed by administrative arrangements and sales are regulated by long-term contracts, managers may question the necessity and the tasks of the sales function within established buyer-seller relationships. Research on selling and salesforce management has to a large extent treated selling as an order-producing function (Ford 1980) and has measured sales function performance mainly as sales volume or sales value, market share, or the attainment of a sales quota (Behrman and Perreault 1982; Churchill et al. 1985; Cravens et al. 1992). If only the order-taking and short-term selling role of the salesperson is considered, the importance of the sales function might be questioned. However, because the role of the marketing function is affected by the formation of buyer-seller relationships (Dwyer, Schurr, and Oh 1987; Webster 1992), such a perspective of the salesperson and sales function may be too narrow in scope. The literature suggests that the role of the salesperson is in transition toward being that of a relationship manager rather than that of a seller (O'Neal 1989, Webster 1992). With emphasis on relationship management, the salesperson is supposed to influence long-term more than short-term sales. However, with few exceptions (Crosby, Evans, and Cowles 1990; Lagace, Dahlstrom, and Gassenheimer 1991), the role of the salesperson within established relationships has not been studied. We therefore conducted a study to investigate how industrial buyers perceive the strategic role of salespersons in terms of influencing various aspects of the relationships with a selection of their suppliers.

We first develop hypotheses about the strategic role of the salesperson and the behaviors and skills affecting salesperson performance in established buyer-seller relationships with respect to relational interactions. Then we describe the methods used in our study and report the results. Finally, we discuss the theoretical and managerial implications of our findings and suggest directions for future research.

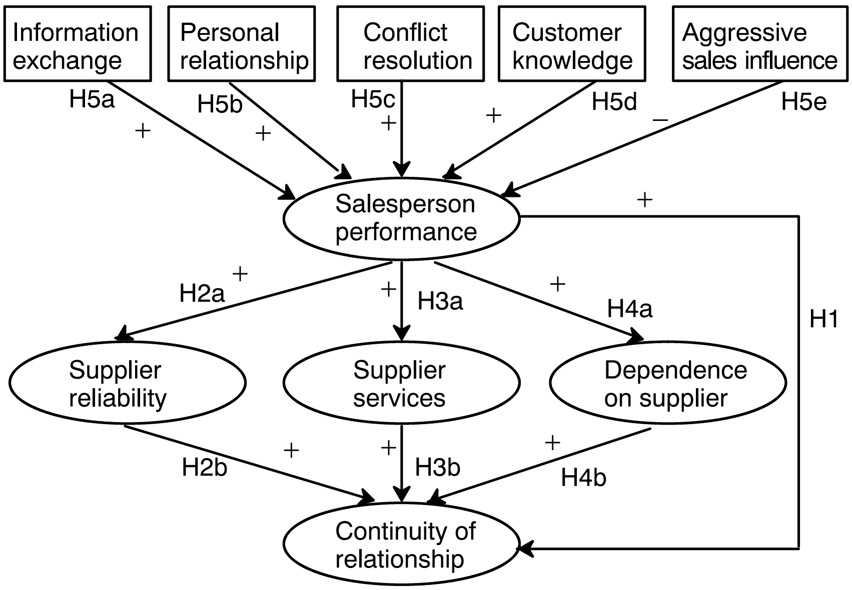
THE ROLE OF THE SALESPERSON IN RELATIONSHIPS

Past research in sociology (Larson 1992), economics (Kranton 1996), and relational contracting (Dwyer, Schurr, and Oh 1987) shows that relationships usually evolve incrementally and reflect an ongoing process. The same research identifies interpersonal attachments, previous experience, specific investments, and incentives or relational benefits as mechanisms that may promote the evolution of the relationships (Axelrod 1984; Ganesan 1994; Larson 1992; Morgan and Hunt 1994; Seabright, Levinthal, and Fichman 1992). Over time various departments and functions of the seller's organizations interact with the buyer, with consequences for fulfilling the intentions of the relationship (Gummesson 1991; Kanter 1994). The activities of those functions must be coordinated. Building on the argumentation that within relationships the salesperson should be a relationship manager, a coordinator (O'Neal 1989), and also an internal marketer (Arndt 1983), we developed the theoretical model in Figure 1.

Relationship Continuity

Understanding the salesperson's role in developing and maintaining relationships with buyers requires an understanding of the value of a long-term exchange relationship to both the supplier and the buyer. The value of a relationship is assumed to be rooted in the continuity of the

FIGURE 1. Theoretical Model of the Hypothesized Antecedents and Consequences of Salesperson Performance



relationship between the parties. Continuity means the parties' willingness to prolong the cooperation or agreement to cooperate for a finite or indefinite period of time into the future (Anderson and Weitz 1989; Heide and John 1990). The motivation for long-term relationships can be explained by various theoretical perspectives. Efficiency and safeguarding aspects are central to transaction cost theory (Heide and John 1988; Noordevier, John, and Nevin 1990; Williamson 1979, 1991). As Ganesan (1994) argues, firms with a long-term orientation will rely on relational exchanges to maximize their profits over a series of transactions. Relational exchanges obtain efficiencies through joint synergies resulting from investments in and exploitation of idiosyncratic assets and risk sharing. Also, the long-term perspective increases the probability of securing a profitable return on the relational investments. Transactional value theory (Zajac and Olsen 1993) focuses on joint value maximization of the parties in the relationship. Managing dependence and uncertainty is central to resource dependence theory (Pfeffer and Salancik 1978), while development of competence is an issue when the perspective is human relations (Kumar, Stern, and Achrol 1992). A buyer provides valuable resources to a supplier in the form of money in exchange for products or services, access to markets, and competence that may enhance innovation (Buchanan 1992; Heide 1994; Pfeffer and Salancik 1978; Reve and Stern 1979). The supplier may provide valuable resources to the buyer in the form of reduced uncertainty in the procurement of important products, more cost-efficient supply, and competence that may enhance the buyer's competitiveness, such as production methods, increased sales, and new products (Asmus and Griffin 1993).

How long the parties expect the relationship to last will have implications for the nature and degree of their cooperative behavior. When the parties regard the relationship as a series of discrete transactions, motivation and incentives to cooperate are likely to be minimal and tied to the output of each transaction (Dwyer, Schurr, and Oh 1987; Ganesan 1994; Heide 1994; Macneil 1978). In contrast, when the parties regard the relationship as a series of interdependent transactions, motivation and incentives are likely to be long-term oriented and behavior more cooperative (Axelrod 1984; Heide 1994; Heide and Miner 1992; Macneil 1978). In general, both parties are expected to be motivated to have a long-term focus when the rewards from relational cooperation are perceived to be more attractive than those from other possible exchanges (Anderson and Narus 1984; Dwyer, Schurr, and Oh 1987; Webster 1992).

Salesperson Performance

Cravens et al. (1993) note that developing accurate evaluations of salespeople is an unresolved problem for both sales researchers and organizations. They suggest that one should distinguish between salesperson behavioral and outcome performance when doing sales research. Furthermore, one should distinguish between the salesperson outcome performance and the sales organization effectiveness. Salesperson behavior performance refers to behaviors, like providing information and using technical knowledge (Behrman and Perreault 1982), intended to affect a certain outcome, for example, achieving a sales quota (Cravens et al. 1993). The behavioral aspects of salesperson relational performance will be discussed more in detail subsequently in this paper. Salesperson outcome performance refers to the outcomes that can be directly attributed to the salesperson, while sales organization effectiveness refers to a summary evaluation of overall organizational outcomes taking into account the influence of both the salesperson and other organizational activities (Cravens et al. 1993; Churchill, Ford, and Walker 1990). According to Craven et al. (1993), total sales volume is the the most popular measure of sales organization effectiveness, while cost reductions, asset utilizations, enhancing core competence, increasing future revenues, or continuity of the relationship are suggested as organizational performance measures in cooperative relationships (e.g., Anderson and Weitz 1989; Sheth and Parvatiyar 1992; Williamson 1985; Zajac and Olsen 1993). In this study salesperson performance refers to the salesperson outcome performance related to the relational interactions with the buyer. As will be discussed more in detail in the following section, we propose the domains of the salesperson outcome performance measure to be (1) the buyer's satisfaction with the salesperson, (2) the salesperson's achievement of results in the buying company, and (3) the salesperson's ability to strengthen the relationship.

Most measures used in studies of salesperson performance emphasize outcomes such as market share, dollar volume, sale of most profitable products, number of contracts won, cross selling of other products, sales commission, and the attainment of sales quota (e.g., Bagozzi 1978; Behrman and Perreault 1982; Cravens et al. 1993; Crosby, Evans, and Cowles 1990). A question is whether these performance measures are appropriate for measuring salesperson performance in established relationships. As noted by Webster (1992, p. 6), there has been a long-standing and clear tendency for marketing practice and theory to focus on the sale, the single event of a transaction as the objective of marketing activity and the dependent variable for analysis. However, studies in sales force management (e.g., John and Weitz 1989) note that focus on single sales and sales volume may foster a short-term orientation of the salespeople. As such, some of the traditional sales performance measures may reflect a transactional more than a relational perspective on performance. However, the bottom line will always be important and it can be argued that market share, accumulated volumes and values, and other quantitative measures of sales performance also may result from long-term relationships. It can be argued as well that within multiple-sourcing arrangements the salesperson can influence the choice of supplier over time. On the other hand, the number of single sourcing and just-in-time relationships is increasing (Frazier, Spekman, and O'Neal 1988). One aspect of these arrangements is that the ordering of products is governed by administrative routines, while short-term sales volume may be determined by the success or failure of the customer's efforts. A consequence for the salesperson is that short-term sales may depend on factors outside his or her control like, for example, the market or competition within the customer's industry (i.e., Churchill et al. 1985).

We recognize the importance of the traditional measures for sales performance in established relationships. However, for the purpose of this study we will propose an additional performance measure that reflects the salesperson's role as a relationship manager, a coordinator, and a promoter of interfirm cooperation as suggested by Ford (1980) and O'Neal (1989). In a relational context an aspect of salesperson performance should be the salesperson's contribution to realizing the objectives of the relationship; either they are cost reductions, revenue enhancement, or stimulation of competitiveness (e.g., Dwyer, Schurr, and Oh 1987; Sheth and Parvatiyar 1992; Zajac and Olsen 1993). The performance of the supplier's salesperson can be judged either by the salesperson's objective accomplishments of relational objectives or by the buyer's satisfaction with the salesperson. Building on the argument that satisfaction is considered as an appropriate measure of relationship performance (Anderson and Narus 1984, 1990; Dwyer and Oh 1987; Gaski 1984; Gaski and Nevin 1985; Robicheaux and El-Ansary 1975), we propose satisfaction with the supplier's salesperson as one domain of the overall salesperson outcome performance measure (Crosby, Evans, and Cowles 1990; Crosby and Stephens 1987). As noted above, the salesperson performance can also be evaluated by objective accomplishments of relational objectives, for example, contribution to cost reductions or increasing competitiveness. Although relational results may be long-term in their nature and therefore difficult to evaluate in the short run (Dwyer, Schurr, and Oh 1987; Heide 1994; Macneil 1978), we assume that the buyer has a notion of whether the salesperson contributes to the achievements of the relational goals. Hence, we propose the salesperson's achievements of results in the buyer's company to be another domain of the salesperson outcome performance measure as a proxy for the achievement of more objective measurable results. To influence long-term sales to an established customer, an objective for the salesperson should be to secure and improve the buyer's motivation to continue the relationship. Research in economics (Kranton 1996) shows that cooperation can be sustained if the relational parties monotonically increase the level of cooperation within a relationship. A perception of an increasing level of cooperation demonstrated by the supplier's salesperson should therefore be expected to reinforce the relationship. Reinforcement could act as a demotivation to switch to alternative partners as well as a foundation for expansion of the relationship (Crosby, Evans, and Cowles 1990). Thus, the ability to strengthen the supplier's position within the buyer's organization is proposed as a third domain of the global salesperson performance measure.

Salesperson Performance and Relationship Continuity

The literature on relationship marketing suggests that the task of marketing in a relationship context is to guide the buyer through the stages of the relationship-development process, from establishing a business relationship to long-term commitment (Jackson 1985; Levitt 1983; Morgan and Hunt 1994). Within the terms of sales research, long-term commitment or continuity of the relationship is a sales organization effectiveness variable (Cravens et al. 1993, Weitz 1981). Willingness to continue the relationship thus acts as a signal of cooperative behavior. The continuity of the relational cooperation is perceived more attractive than searching for alternative partners (Crosby, Evans, and Cowles 1990; Kranton 1996). Past research in sociology (Larson 1992; Seabright, Levinthal, and Fichman 1992) and relationship marketing (e.g., Webster 1992; Wilson 1995) suggests interpersonal attachment between boundary personnel to be a major force for maintaining and developing cooperative relationships between firms. However, scholars currently disagree in which way interpersonal attachments actually affect the quality of performance in the relationship. Seabright, Levinthal, and Fichman (1992) note that performance will suffer as the parties begin to take the relationship for granted, but that interpersonal attachments act as an inertial force to switching. Others (e.g., Larson 1992) argue that interpersonal attachments promote joint utility and cooperative performance. Our perspective is utilitarian in the way that the parties cooperate to realize some goals. When the salesperson contributes to achieve relational goals, the customer will be satisfied with the salesperson and will continue the relationship (Biong 1993; Fornell 1992; Kranton 1996). This is in line with the results of Crosby, Evans, and Cowles (1990) showing a positive relationship between salesperson relationship quality and anticipation of future interaction. The dynamic, often complex, role performed by salespeople in long-term relationships increases the importance of the customer's perception and evaluation of the salesperson's efforts to manage the often multifaceted relationship over time (Frazier 1983). Therefore, when a buyer perceives a salesperson to be doing a good job in terms of achieving relational goals, the probability of relationship continuity is likely to be high. We propose that a salesperson evaluated as a high performer in the mind of the buyer will enhance the likelihood of continuity.

> H1: There is a positive relationship between the evaluation of the salesperson's performance and the buyer's motivation to continue the business relationship with the supplier.

Salesperson Performance and Supplier Reliability

Reliability of the supplier is defined as the ability to fulfill the terms agreed upon for deliveries of goods and services. Reliability is related to the actual delivery of products and services (Lambert and Sterling 1987). Therefore, supplier reliability is mainly a responsibility of the production and logistic functions. However, as argued below, reliability is also influenced by the performance of the salesperson. Products and services usually have to meet specific standards regarding quality, quantity, price, and time of delivery regulated by the agreements between buyer and seller. Transaction cost theory suggests that parties may act opportunistically if given the chance (Stump and Heide 1996). In this case, supplier opportunism may manifest itself in deviations from negotiated terms and specifications in order to generate a short-term profit. One mechanism for controlling opportunism is monitoring (Eisenhardt 1985; Ouchi 1979; Williamson 1994). However, as monitoring may promote cooperation (Eisenhardt 1985; Ouchi 1979), it also involves ongoing costs in connection with inspection and processing of performance data. A non-reliable supplier thus incurs increased transaction costs, which argues against one reason for engaging in cooperative relationships. A reliable supplier saves the buyer from disturbances in production and administrative routines due to late deliveries, failures in quality or quantity, and prices that differ from those agreed upon, which also reduces the necessity for monitoring.

From a game theoretical perspective, parties can enhance cooperation by signaling cooperative behavior (Axelrod 1984; Heide and Miner 1992). Main elements of supplier reliability are the supplier's ability to fulfill its obligations to the buyer (Dwyer, Schurr, and Oh 1987) and to stand by its word (Anderson and Narus 1990; Kumar, Scheer, and Steenkamp 1995). Thus, reliability may serve as a means for the supplier to demonstrate cooperativeness and consistency in the working relationship between the two parties (Dwyer, Schurr, and Oh 1987). As partners fulfill their exchange obligations, cooperation rises to higher levels (Kranton 1996). Reliability is closely connected to overall buyer satisfaction because it reflects the supplier's ability to fulfill the buyer's expectations. As satisfaction has been found to affect loyalty (i.e., Biong 1993; Fornell 1992; Gladstein 1984), experienced reliability is likely to enhance the buyer's motivation to continue a business relationship with the supplier.

The tasks in industrial selling may be complex as products and terms usually are adapted to fit the specific needs of the customer (Webster 1991). During the interactions with the buyer the salesperson must understand the customer needs correctly and communicate the specifications regarding quality, quantity, price, and delivery accurately to his or her organization. Part of the selling role can be to cooperate with the customer on tasks such as capacity planning and production scheduling (Shapiro and Moriarty 1982). Furthermore, the sales management literature (Williams and Seminerio 1985) suggests that buyers expect the salesperson to be responsible that agreements are kept and that the salesperson in general act in the customer's best interests within the supplier's organization. This argument suggests that salesperson performance influences reliability. However, the literature is unclear about the causality between organizational variables (Crosby and Stephens 1987). In their study they show that satisfaction with the contact person can affect satisfaction with the core service and institution, just as satisfaction with core service and institution can affect satisfaction with the contact person. Our rationale for the predicted causality lies in the assumption that professional buyers learn the working routines of their suppliers and are able to make distinct evaluations of each of the variables affecting the relationship. Summing up our arguments, we propose:

H2a: The salesperson's performance has a positive effect on the buyer's perception of the supplier's reliability.

H2b: The perceived reliability of the supplier has a positive effect on the buyer's motivation to continue the business relationship.

Salesperson Performance and Supplier Services

Supplier services in our study refer to services and assistance the supplier gives the buyer beyond the core "contractual" product or service to add value to the relationship and to help the buyer improve its competitiveness (Anderson and Narus 1991). For example, the supplier may provide services in product development projects, or improvement programs in production, logistics, procurement, and other processes of the buyer's organization (Morgan and Hunt 1994). Usually, other departments such as R & D, technical department, or engineering department will be engaged in delivering these kinds of assistance. The supplier's intention is to provide added value beyond a standard buyer-seller relationship (Sheth and Parvatiyar 1992) and thus develop a preference for that supplier (Anderson and Narus 1995; Cadotte and Stern 1979; Jüttner and Wehrli 1994). Thus, the additional services provided act as incentives that make it economically attractive for the buyer to cooperate with the supplier. Zajac and Olsen (1993) note that a variety of formal interorganizational arrangements is more a function of future value gains, rather than anticipated losses due to the cost of constraining opportunism, and that a focal firm should consider the value sought by that firm's exchange partner. In a theoretical perspective the overall goal in offering the services is to establish a self-enforcing agreement, which makes the buyer's gain from continuing the relationship with the supplier exceed any gain for dissolving the relationship and starting with another supplier (Kranton 1996; Telser 1980).

Shapiro and Moriarty (1982) argue that when products are undifferentiated from competing offerings, a seller can gain preferred supplier status by anticipating customer needs, responding to those needs, and providing value-added services. The management literature reports that leading companies such as IBM and Xerox use their salespeople actively in carrying out a support strategy and train their salespeople in active problem solving (Fierman 1994). By engaging in value-adding activities the salesperson demonstrates cooperativeness by selling solutions, coordinating product development projects, and recommending sets of actions to help the buyer to become more profitable. According to the market orientation theory (Gummesson 1991; Kohli and Jaworski 1990), the salesperson is dependent on his or her organization in providing the services to the customer. As noted in the previous section, the path of causality might be unclear (Crosby and Stephens 1987). Services provided by the supplier might affect the perceived performance of the salesperson, just as perceived performance of the salesperson can affect the perceived supplier services. Our argument is that the salesperson has to act as an internal coordinator to ensure the fulfillment of the relational obligations (O'Neal 1989) and thus influence the departments and functions providing the services. Hence, we propose:

H3a: The salesperson's performance has a positive effect on the buyer's perception of services provided by the supplier.

H3b: The perceived services provided by the supplier have a positive effect on the buyer's motivation to continue the business relationship.

Salesperson Performance and Dependence on Supplier

Dependence on the supplier refers to the difficulty the buyer perceives in replacing the supplier with another supplier. Dependence can occur when the buyer faces high psychological, physical, and economic costs in changing a supplier (i.e., Jackson 1985, p. 13). Dwyer, Schurr, and Oh (1987) note that when a relationship develops over time, the two parties gain experience and learn to trust each other. Consequently, they may gradually increase their commitment through transaction-specific investments in products, processes, or people dedicated to the particular relationship, thus reducing the number of alternative partners (Emerson 1962; Johanson, Hallén, and Seyed-Mohamed 1991). Furthermore, the buyer may incrementally invest resources in the relationship (asset specificity) like just-in-time programs and voluntarily increase its switching costs and dependence on the supplier (Anderson and Narus 1991). Increasing the buyer's dependence may be an intentional strategy from the supplier. However, as noted by Ganesan (1994), one-sided dependence on the supplier leaves a potential risk of the buyer to be exposed to opportunism and exploitation rather than cooperation. Therefore, with no reasonable alternatives, dependence on, and not necessarily the attractiveness of, the supplier may motivate the continuation of the business relationship (Ganesan 1994).

Human assets tailored to a relationship create specialized knowledge and experience, and may improve selling performance in that particular relationship (Anderson 1985). A relationship-dedicated salesperson is a potential asset not only for the supplier, but also for the buyer. An outstanding salesperson from the perspective of the buyer shows "willingness to go to bat for the customer within the supplier firm," "imagination in applying his/her products to the buyer's needs," and "knowledge of the buyer's product line" (Williams and Seminerio 1985, p. 76). More formally, from an agency-theoretical and transaction cost perspective the buyer delegates some tasks to the supplier's salesperson and invests in the salesperson by educating him or her about company products, production processes, and organization policy (Anderson 1985; Bergen, Dutta, and Walker 1992; Crosby, Evans, and Cowles 1990; Heide and John 1988). These costs will be sunk by switching to another supplier; also it will incur costs to educate the new supplier's salesperson (Heide and John 1988). Furthermore, the buyer is familiar with the performance of the current salesperson, while the performance of the salesperson of a new supplier will be uncertain. Therefore, the working experience and performance of a supplier's salesperson is expected to create switching costs and dependence on the supplier.

H4a: The salesperson's performance has a positive effect on the buyer's perception of dependence on the supplier.

H4b: The perceived dependence on the supplier has a positive effect on the buyer's motivation to continue the business relationship.

BEHAVIORS AND SKILLS AFFECTING SALESPERSON PERFORMANCE

As noted above, the sales research literature distinguishes between salesperson outcome performance and salesperson behavioral performance (Churchill et al. 1985; Cravens et al. 1993). In this section we will discuss the behavioral performance, that is, behavior and skills related to the salesperson's relationship manager role (Crosby, Evans, and Cowles 1990) affecting his or her outcome performance with respect to the relationship. Recall that one aspect of salesperson performance is to realize the relational objectives and to promote cooperation. From a review of the literature in sales management (Behrman and Perreault 1982; Cravens et al. 1992, 1993; Crosby, Evans, and Cowles 1990; Weitz 1981), channel research (Anderson and Narus 1990), relational contracting (Dwyer, Schurr, and Oh 1987; Macneil 1978), and sociology (Granovetter 1985; Larson 1992; Ring and Van de Ven 1994) we identified five salesperson behaviors and skills that reflect different parts of a salesperson's role within an established buyer-seller relationship. These are (1) information exchange, (2) personal relationship, (3) conflict resolution, (4) customer knowledge, and (5) aggressive sales influence. Each of these behaviors and skills and their effect on salesperson behavior is discussed further.

Information Exchange and Salesperson Performance

Information exchange refers to the behavior of the salesperson in terms of mediating operative information between the two firms. The literature in various research disciplines such as sociology (Granovetter 1985; Larson 1992; Ring and Van de Ven 1994), relational contracting (Dwyer, Schurr, and Oh 1987; Macauley 1963), and economics (Williamson 1985) identifies information exchange or communication as a means for the smooth functioning of interfirm relationships. In this vein it is interesting to note that efficiency in both market and relational governance relies on shared or symmetric information among the parties. An open exchange of information may build trust (Morgan and Hunt 1994), while asymmetric information is claimed to be a major source of opportunism (Williamson 1985). Interfirm cooperation in close buyer-seller relationships involves the exchange of information needed to coordinate the operations in the relationship, such as exchange of production schedule information, sales forecasts, prices, and calculations (Anderson and Narus 1990; Farmer and MacMillan 1976; Metcalf, Frear, and Krishnan 1992; O'Neal 1989). Exchange of information is also suggested to be an important element of both traditional industrial selling and selling within relationship marketing (Anderson and Weitz 1989; Behrman and Perreault 1982; Crosby, Evans, and Cowles; Frazier and Rody 1991; Metcalf, Frear, and Krishnan 1992). The salesperson of the supplier provides the buyer with information and recommends sets of actions whereby the buyer can have higher profits by development and adaptation of products, coordination of plans, joint learning, and prevention and correction of failures (Frazier and Summers 1984; O'Neal 1989). Thus we propose:

> H5a: The more a salesperson uses information exchange as a part of his or her mode of behavior with the buyer, the better the buyer perceives the salesperson's performance to be.

Personal Relationship and Salesperson Performance

Personal relationship refers to the ability to get along with various functions at the buyer's company as well as the perceived similarity of the salesperson in terms of values, reasoning, and norms (Bonoma and Johnston 1978; Ford 1980; Metcalf, Frear and Krishnan 1992; Rand and Wexley 1975; Weitz 1981; Wilson 1995). While economists claim that appropriate design of economic incentives can produce interfirm cooperation (Kranton 1996; Williamson 1985), sociologists have explored the effects of interpersonal relationships (Granovetter 1985; Larson 1992, Seabright, Levinthal, and Fichman 1992). In general, Granovetter (1985) states that all economic activity between firms is embedded in social relations. More specifically, Larson (1992) found that personal relationships were central to both establishing, maintaining and enhancing relationships among firms, and Seabright, Levinthal, and Fichman (1992) posit interpersonal relationships to be a source of individual attachment. The development of interorganizational relationships is proposed to be "grounded in the motivational and cognitive predisposition of individuals to engage in sense-making and bonding processes" (Ring and Van de Ven 1994, p. 99). The sense-making process results in congruent expectations and agreement on norms. Such development is important because it may produce congruent directions for the working relationship (Anderson and Weitz 1989; Frazier, Spekman, and O'Neal 1988; Heide and John 1992). According to Ford (1980), personal interactions are essential to the continuation of business relationships, and relationship failures can be traced to boundary-personnel problems or turnover. Personal relationships are also expected to contribute to the creation of goodwill and trust, which in turn contribute to the relationship as a risk-reducing mechanism (Bradach and Eccles 1989; Håkansson and Östberg 1975; Macaulay 1963). Perceived similarity is suggested to be an element of both a personal relationship (Byrne and Nelson 1965; Rand and Wexley 1975) and of personal selling (Weitz 1981). Research in psychology (Rand and Wexley 1975) has found that personal similarity could cause a positive evaluation of perceived performance of other persons, while Crosby, Evans, and Cowles (1990) found that personal similarity affected sales effectiveness within a relational context in the life insurance industry. However, previous studies have used physical as well as psychological and cultural dimensions of similarity in their similarity measurements (Crosby, Evans, and Cowles 1990; Rand and Wexley 1975). As noted by Crosby, Evans, and Cowles (1990), the psychological and cultural dimension of similarity might be a more long-term aspect than the physical similarity dimensions also included in other studies using this construct. Hence, we included only the psychological and cultural dimension of similarity in our construct. Summing up this argumentation, we propose:

> H5b: A positive perception of the personal relationship with the salesperson will have a positive effect on the evaluation of salesperson performance.

Conflict Resolution and Salesperson Performance

Conflict resolution refers to the salesperson's ability to minimize the negative consequences of actual and potential conflicts. Within a buyer-supplier relationship, conflict as a consequence of different perceptions of goals and roles is as common as misunderstandings and incorrect deliveries (Dwyer, Schurr and Oh 1987; Macneil 1978). Conflict can be destructive, with hostility, bitterness, and isolationism resulting. However, a total suppression of conflict can result in a relationship that lacks vitality and does not develop into more fruitful cooperation. The question is how conflict should be avoided or resolved. Williamson (1996, p. 50) states "governance is the means by which order is accomplished in a relation where potential conflict threatens to undo or upset opportunities to realize mutual gains." Transaction cost (e.g., Williamson 1985) and agency theory (e.g., Bergen, Dutta, and Walker 1992) suggest incentives as mechanisms to align parties with conflicting interests. Research on relational contracting (Macaulay 1963; Macneil 1978) and sociology (Ring and Van de Ven 1994) suggest that parties must resolve disputes by private settlements when the preservation of the relationship is an objective. In this vein Anderson and Narus (1990) suggest that boundary personnel should be trained in conflict resolution to solve conflicts before they reach their manifest state. Hence, we propose that conflict resolution should be a skill of the salesperson in a relationship management context.

H5c: The salesperson's contribution to resolving conflicts between the selling and buying firms will have a positive effect on the perceived performance of the salesperson.

Customer Knowledge and Salesperson Performance

By customer knowledge is meant the buyer's perception of the salesperson's knowledge of various aspects of the buyer's business such as its production methods, products and their application as well as its market situation and the market performance of the buyer's products. Seabright, Levinthal, and Fichman (1992) note that sources of individual attachment include personal skills and knowledge. From social exchange theory the related construct expertise is considered as one of the basic sources of influence (French and Raven 1959), with positive effect on satisfaction (Gaski 1984). Marketing and relationship literature identifies salesperson competence or expertise to be an important variable in sales (i.e., Behrman and Perreault 1982; Cravens et al. 1992; O'Neal 1989). Studies of relational selling and salesperson performance (Crosby, Evans, and Cowles 1990; Sujan, Weitz, and Kumar 1994), show that customer knowledge or expertise has been positively related to sales effectiveness. Knowledgeable salespeople are better able to communicate, which in turn reduces uncertainty and leads to more trust within the relationship (Anderson and Weitz 1989; Crosby, Evans, and Cowles 1990; Lagace, Dahlstrom, and Gassenheimer 1991; Swan, Trawick, and Silva 1985). However, the concept of expertise is complex and compound. We therefore limit expertise to the salesperson's knowledge of the buyer in terms of the buyer's firm and production technology, markets, competitors, and industry. Such knowledge is necessary to understand buyer needs and relate them to supplier firm capabilities to create customer value (Webster 1991). Hence we propose:

> H5d: The salesperson's knowledge of the customer's operations will have a positive effect on the buyer's perception of salesperson performance.

Aggressive Sales Influence and Salesperson Performance

Aggressive sales influence refers to the salesperson's use of pressure and aggressiveness to achieve sales. Aggressive sales influence is often associated with traditional "foot-in-the-door" sales behavior. The salesperson typically tries to convince the buyer to order larger quantities or to order earlier than originally planned and generally focuses on sales and order taking in the customer interaction. This behavior can be motivated by the peers of the salesperson pressuring him or her to sell extra units within a period of time to save a budget or achieve a bonus that depends on sales. The construct is derived from the sales literature (Weitz 1981, p. 92) noting that "the use of control or pressure is a method of aggressively directing the flow of the interaction toward making a sale" and "the salesperson aggressively structuring the customer's problem so that the solution involves purchasing the salesperson's product." Furthermore Weitz (1981) posits that this type of behavior frequently directs the interaction toward an outcome that is more compatible with the needs of the salespeople than the needs of the customer, but that it might violate customer satisfaction. Williamson (1975, from Granovetter 1985, p. 495) makes a similar statement, "Repeated personal contacts across organizational boundaries support some minimum level of courtesy and consideration between the parties . . . In addition, expectations of repeat business discourage seeking a narrow advantage in any particular transaction . . . Individual aggressiveness is curbed by the prospect of ostracism among peers in both trade and social circumstances." Summing up this argumentation we propose:

> H5e: A perceived aggressive salesperson behavior will have a negative effect on the buyer's perception of salesperson performance.

METHODS

The data used to test the hypotheses were collected in a mail survey of industrial buyers. We wanted the population selected for the study to reflect a variety of purchasing practices to avoid biases due to using a specific industry or one or a few dominating suppliers. An extensive questionnaire was mailed to a total of 576 companies. These were selected from databases covering the information technology industry, the apparel and sports equipment industry, the food processing industry, manufacturers of chemicals and of cosmetics, the pharmaceutical industry, and miscellaneous other industries. The informant was the person responsible for purchases of the product category in question. In order to generalize from the data, our main premise was that relational selling behavior should apply to various categories of purchased goods. Thus, the informant was asked to identify a supplier of packaging, a supplier of component parts, and a supplier of accessories. For each of the three chosen suppliers, informants were asked to evaluate the supplier's salesperson on several behaviors in addition to characteristics of the buyer-supplier relationship. If suppliers for only one or two of the product categories could be identified, the informant was asked to evaluate those suppliers.

Qualitative interviews with two sales managers and two purchasing managers within different industries, a total of four interviews, were conducted prior to the main study. The purpose of the qualitative interviews was to get deeper insight about the selling role in buyer-seller relationships as perceived from both the seller and the buyer side, to discuss the appropriateness of the hypotheses derived from the literature review, and to generate items to measure the constructs. Furthermore, the prestudy indicated that the person responsible for purchases was the one having the best overview and knowledge of the supplier relationships, and that the purchasing managers considered themselves to be the most appropriate to provide the type of information wanted. That observation is in accordance with the experience of other researchers studying industrial buyer-seller relationships (Anderson and Weitz 1989; Heide and John 1990). Hence, the person in charge of purchasing was expected to have the qualifications to serve as key informant (Campbell 1955). The informants were encouraged to confer with their colleagues, if necessary, in completing the questionnaire.

The questionnaires, together with a prepaid self-mailing response envelope and a cover letter explaining the purpose of the survey, were mailed personally addressed to the purchasing managers within the selected companies. After three weeks, non-respondents received a copy of the questionnaire together with a prepaid response envelope and another cover letter. In return for their cooperation, informants were promised a short version of the report from the study. This procedure produced completed questionnaires from 126 companies (a response rate of 22%). We evaluated nonresponse bias by comparing early and late responders, following the procedure suggested by Armstrong and Overton (1977). No significant differences were found on such variables as sales volume, number of employees, supplier dependence, and motivation to continue the relationship, suggesting that nonresponse bias was not a problem. A total sample of 279 relationships was collected. Thus, on average each informant evaluated about two relationships.

Development of Measures

The measures were developed based on a literature review and the reported in-depth qualitative interviews. Then the questionnaire for the survey was developed and pretested. All measures used in the study are reported in the Appendix.

Continuation of the relationship (CONTIN). Continuation of the relationship was defined as the buyer's commitment to a future relationship with the supplier. That definition of continuity is consistent with the ones used in other empirical research on interorganizational relationships (Anderson and Weitz 1989; Heide and John 1990). The scale consisted of three items tapping (1) motivation to continue the cooperation with the supplier, (2) what it takes to break the relationship, and (3) intention to purchase an equal or larger share from the supplier.

Salesperson performance (SALPER). Salesperson performance refers to the salesperson outcome performance related to the interactions with the buyer. We therefore developed an overall measure of salesperson outcome performance to capture the relational perspective of the study inspired by Crosby, Evans, and Cowles (1990). The scale items were (1) evaluation of the salesperson's achievements of results within the buying company, (2) ability to strengthen the supplier's position, and (3) overall satisfaction with the salesperson.

Reliability of the supplier (RELIAB). Reliability of the supplier refers to the ability to fulfill the terms agreed upon for deliveries of goods and services. The scale was built on the work of Lambert and Sterling (1987) and consisted of four items, (1) fulfilling quality norms, (2) timely delivery, (3) delivery of agreed-upon quantity, and (4) keeping agreed-upon prices.

Supplier services (SUPSER). We defined supplier services as the perceived ability of the supplier to deliver forms of services beyond the core "contractual" product or service. The scale consisted of four items pertaining to whether the supplier (1) provides technical services related to the use of the supplier's products, (2) contributes to solving production problems, (3) contributes to solving problems when products or product specifications are changed, and (4) contributes to new and efficient constructions for products.

Dependence (DEPEND). Dependence was defined as the difficulty the buyer perceives in replacing the supplier with another supplier due to perceived switching costs (i.e., Jackson 1985, p. 13) and relationship specific investments (i.e., Johanson, Hallén, and Seyed-Mohamed 1991). The three scale items reflected (1) perceived physical and/or mental costs of switching suppliers, (2) perceived asset-specific investments in production and/or administrative routines, and (3) perceived dependence on the supplier.

Information exchange (INFEXC). We defined information exchange behavior of the salesperson in terms of mediating operative information between the two firms. The items on this scale partly build on the scales used by Anderson and Narus (1990). The scale consisted of two items related to (1) providing operative information from the supplier, and (2) acquiring operative information from the buyer.

Personal relationship (PERSON). Personal relationship addresses the ability to get along with various functions at the buyer's company as well as the perceived similarity of the salesperson in terms of values, reasoning, and behavior (Bonoma and Johnston 1978; Ford 1980; Metcalf, Frear, and Krishnan 1992; Rand and Wexley 1975; Weitz 1981; Wilson 1995). The scale items reflected four issues: (1) the perceived professional personal relationship between the purchaser and the salesperson, (2) the salesperson's ability to get along with members of the buyer's organization, (3) the similarity in values, norms, and reasoning between the purchaser and the salesperson, and (4) the salesperson's understanding of the buyer's cultural business mentality.

Conflict resolution (CNFLCT). Conflict resolution was defined as the salesperson's ability to minimize the negative consequences of actual and potential conflicts. That definition is in line with Dwyer, Schurr, and Oh's (1987). The two scale items reflected (1) ability to avoid potential conflicts, and (2) ability to resolve actual conflicts before they create problems.

Customer knowledge (CUSKNO). We defined customer knowledge as the buyer's perception of the salesperson's knowledge of various aspects of the buyer's business. The measure was inspired by the literature (Anderson and Weitz 1989; Behrman and Perreault 1982; Cravens et al. 1993; Williams and Seminerio 1985), but developed based on the in-depth qualitative interviews. The three-scale items were (1) knowledge about buyer's organization and production methods, (2) knowledge about buyer's products and their application, and (3) knowledge about the market for the buyer's products.

Aggressive sales influence (AGRINF). Aggressive sales influence was defined as the salesperson's use of pressure and aggressiveness to achieve sales. The construct was inspired by the literature (e.g., Weitz 1981) and on information from the qualitative in-depth interviews suggesting that salespeople are sometimes pressured by their peers to achieve short-term sales objectives by any possible means. The three-scale items reflected the degree to which the salesperson (1, 2) focuses on pushing products, even when the buyer says there is no need and (3) engages in aggressive behavior.

Ten scales were computed by taking the mean of the items of the theoretical scales. Statistical descriptions of the 10 scales are given in Table 1. Skewness and kurtosis statistics indicate that the scales follow a normal distribution. The reliability coefficients exceed or are close to the recommended level of .7 (Nunnally 1978).

We tested convergent and discriminant validity of the scales by a confirmatory factor analysis procedure recommended by Anderson and Gerbing (1988). Convergent validity was assessed by goodness-of-fit indices and t-values associated with individual items of the scale. We performed confirmatory factor analysis for all 10 scales by using the maximum likelihood procedure in LISREL VII. The estimated measurement model is reported in Table 2. All item coefficients (loadings) are significant ($p < 0.000$). Chi-square for the total measurement model is 790.31

TABLE 1. Statistical Description of Estimated Scales

	Number of items	Mean	S.D.	Skewness	Kurtosis	Reliability
CONTIN	3	4.60	.87	−.64	.46	.67
SALPER	3	4.51	.87	−.57	.12	.83
RELIAB	4	5.00	.67	−.66	.49	.78
SUPSER	4	3.94	1.14	−.44	−.18	.81
DEPEND	3	2.72	1.26	.54	−.44	.75
INFEXC	2	3.65	1.35	−.15	−.79	.65
PERSON	4	4.50	.83	−.94	1.13	.70
CNFLCT	2	4.65	.89	−.76	.67	.78
CUSKNO	3	3.72	1.23	−.09	−.89	.83
AGRINF	3	2.59	1.16	.48	−.59	.83

TABLE 2. Measurement Model (Standardized Coefficients) Estimated by LISREL VII

	CONTIN	SALPER	RELIAB	SUPSER	DEPEND	INFEXC	PERSON	CNFLCT	CUSKNO	AGRINF
E1	.845									
E2	.642									
E3	.507									
E4		.686								
E5		.809								
E6		.800								
E7			.723							
E8			.796							
E9			.664							
E10			.540							
E11				.679						
E12				.796						
E13				.703						
E14				.701						
E15					.760					
E16					.673					
E17					.689					
K1						.754				
K2						.634				
K3							.537			
K4							.728			
K5							.535			
K6							.681			
K7								.850		
K8								.763		
K9									.785	
K10									.782	
K11									.802	
K12										.826
K13										.839
K14										.716

with 389 degrees of freedom (p = 0.000). The adjusted goodness-of-fit index is .793 and the root mean square residual is .096. The overall fit of the measurement model is only moderate. However, the chi-square measure is very sensitive to large sample sizes and the number of variables in the model. Given the large sample size (279 observations) and the large number of variables (30), chi-square statistics of such magnitude can be expected even if the data fit the underlying model very well. Also, the normed chi-square (chi-square/d.f.) is 2.03, which is only slightly above the recommended level of 1.0 to 2.0. In addition, when we assessed the model fit in pairwise comparison tests (Tables 4 and 5), the AGFI index was above .90 for 16 of the 20 models. We therefore concluded that the theoretical measurement model fits the data reasonably well.

Table 3 is the correlation matrix for the measures.

Discriminant validity was assessed by pairwise comparisons of the exogenous and endogenous scales. Discriminant validity can be assessed for two estimated constructs by constraining the estimated correlation parameter between them to 1.0 and then performing a chi-square difference test on the values obtained for the constrained and unconstrained models. "A significantly lower chi-square value for the model in which the trait correlations are not constrained to unity would indicate that the traits are not perfectly correlated and that discriminant validity is achieved" (Bagozzi and Philips 1982).

For each pair of the five endogenous scales (CONTIN, SALPER, RELIAB, SUPSER, and DEPEND) and the five exogenous scales (INFEXC, PERSON, CNFLCT, CUSKNO, and AGRINF), we conducted chi-square difference tests. The results are reported in Tables 4 and 5. All comparisons showed a large and significant drop in chi-square from the constrained to the unconstrained model, indicating discriminant validity of the scales. We therefore decided to keep the scales as originally developed.

A complementary assessment of discriminant validity was done by testing whether the confidence interval ($\pm$ two standard errors) around the correlation estimated between the pair of scales included 1.0 (Anderson and Gerbing 1988). None of the confidence intervals around the estimated correlations between the pairs of scales included 1.0 ($\pm$ two standard errors).

Sample Characteristics

The resulting sample appeared to be evenly distributed across company size and industry, indicating no specific company or industry bias in the data. The most common purchasing practice was to buy from one or two suppliers within each product category. Across purchasing categories,

TABLE 3. Correlation Matrix of Measures

	CONTIN	SALPER	RELIAB	SUPSER	DEPEND	INFEXC	PERSON	CNFLCT	CUSKNO	AGRINF
CONTIN	1.000									
SALPER	.568	1.000								
RELIAB	.484	.440	1.000							
SUPSER	.351	.468	.335	1.000						
DEPEND	.229	.098**	.012**	.256	1.000					
INFEXC	.382	.414	.304	.441	.182	1.000				
PERSON	.485	.689	.375	.432	.001**	.382	1.000			
CNFLCT	.455	.688	.428	.403	−.086**	.326	.633	1.000		
CUSKNO	.411	.513	.302	.474	.243	.456	.504	.392	1.000	
AGRINF	−.305	−.244	−.268	−.227	−.018**	−.171*	−.325	−.271	−.239	1.000

*Significant GE .05

**Not significant

TABLE 4. Chi-Square Difference Between Each Pair of Endogenous Variables Calculated by LISREL VII

		Constrained	Unconstrained	
	d.f.	Chi-Square	Chi-Square	AGFI
CONTIN vs. SALPER	9	52.54	8.91	.970
CONTIN vs. RELIAB	14	89.83	29.29	.933
CONTIN vs. SUPSER	14	152.15	48.57	.884
CONTIN vs. DEPEND	9	150.32	33.87	.899
SALPER vs. RELIAB	14	196.35	34.44	.927
SALPER vs. SUPSER	14	179.21	27.31	.935
SALPER vs. DEPEND	9	308.27	13.55	.957
RELIAB vs. SUPSER	19	195.54	57.34	.905
RELIAB vs. DEPEND	14	327.40	25.19	.948
SUPSER vs. DEPEND	14	179.21	27.73	.950

TABLE 5. Chi-Square Difference Between Each Pair of Exogenous Variables Calculated by LISREL VII

		Constrained	Unconstrained	
	d.f.	Chi-Square	Chi-Square	AGFI
INFEXC vs. PERSON	9	56.95	18.87	.935
INFEXC vs. CNFLCT	2	53.68	1.84	.965
INFEXC vs. CUSKNO	5	49.39	14.69	.918
INFEXC vs. AGRINF	5	71.85	5.24	.972
PERSON vs. CNFLCT	9	35.70	19.87	.931
PERSON vs. CUSKNO	14	129.15	56.78	.870
PERSON vs. AGRINF	14	195.27	52.41	.882
CNFLCT vs. CUSKNO	5	135.82	16.53	.914
CNFLCT vs. AGRINF	5	138.02	7.17	.960
CUSKNO vs. AGRINF	9	321.97	26.81	.921

82% of the companies bought packaging from no more than two suppliers. For component parts the proportion was 66% and for accessories it was 75%. Furthermore, the ordering was guided by administrative routines, either production plans (packaging and component parts) or out-of-stock situations (accessories). In only a few cases did informants report ordering as a direct result of sales calls. The average duration of cooperation with the packaging and component part suppliers was 12 years. Cooperation with suppliers of accessories appeared to be of shorter duration, with an average of six years. Thus, the sample reflects our theoretical assumptions for the study, so generalizing from the results should be possible.

RESULTS

We estimated the model including both exogenous and endogenous variables by using LISREL VII. Chi-square for the model with 412 d.f. is 876.69 ($p < 0.05$) and the adjusted goodness-of-fit index is .777, indicating a moderate fit of the theoretical model. The explained variance of the salesperson performance variable is 91% (adj. $R^2 = .91$) and of the continuity variable 75% (adj. $R^2 = .75$). Inspection of modification indices larger than 5 suggest structural paths between SUPPLIER SERVICES and DEPENDENCE (m.i. = 15.66), from CONTINUITY to SUPPLIER SERVICES (m.i. = 11.85), from CONFLICT RESOLUTION to DEPENDENCE (m.i. = 17.79), from INFORMATION EXCHANGE to SUPPLIER SERVICES (m.i .= 15.92), from CUSTOMER KNOWLEDGE to SUPPLIER SERVICES (m.i .= 13.07), from CUSTOMER KNOWLEDGE to DEPENDENCE (m.i. = 19.57), and from AGGRESSIVE SALES INFLUENCE to CONTINUITY (m.i .= 8.10). Thus, a better fit of the model could be achieved through a redefinition of structural paths, but we decided to keep the original model. We comment on the modification indices in the discussion section.

The estimated paths of the endogenous and exogenous variables are reported in Table 6. The effect of salesperson performance on business continuity is not only significant ($p < 0.000$), but also very strong ($\beta = .591$), supporting H1. Salesperson performance affects the perceived reliability of the supplier, and perceived reliability of the supplier has the hypothesized effect on business continuity, supporting the hypotheses H2a and H2b. As hypothesized in H3a, supplier services is affected by salesperson performance, while contrary to our expectations, supplier services does not affect business continuity, and H3b is rejected. Salesperson performance does not have the expected effect on dependence on the supplier,

TABLE 6. Estimated Structural Model–Standardized Beta Coefficients

Path	Estimate	t-value	Support for hypotheses
SALPER on CONTIN	.591	6.006	H1 supported
SALPER on RELIAB	.591	7.096	H2a supported
RELIAB on CONTIN	.397	5.078	H2b supported
SALPER on SUPSER	.625	7.823	H3a supported
SUPSER on CONTIN	−.111	−1.456	H3b not supported
SALPER on DEPEND	.096	1.267	H4a not supported
DEPEND on CONTIN	.203	3.436	H4b supported

Estimated Structural Model–Standardized Gamma Coefficients

Path	Estimate	t-value	Support for hypotheses
INFEXC on SALPER	.169	2.107	H5a supported
PERSON on SALPER	.592	3.603	H5b supported
CNFLCT on SALPER	.309	2.379	H5c supported
CUSKNO on SALPER	−.007	−.091	H5d not supported
AGRINF on SALPER	.041	.824	H5e not supported

and H4a is rejected. Finally, dependence on the supplier has a positive effect on continuity, supporting H4b.

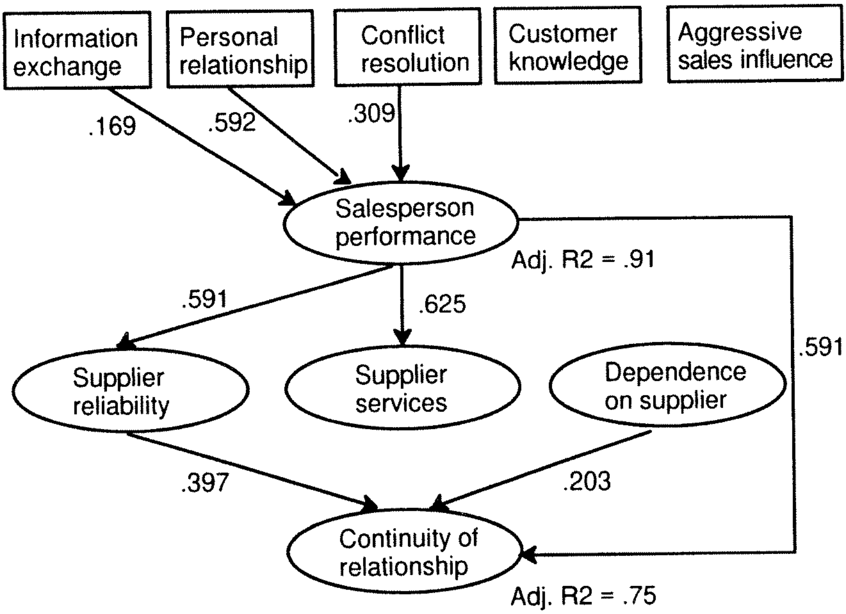
Table 6 also reports the estimated effects of the exogenous variables, salesperson behaviors and skills, on salesperson outcome performance. Information exchange and personal relationship have significant effects, supporting H5a and H5b, with personal relationship as the strongest effect with an estimated coefficient of .592 ($p < 0.000$). Also conflict resolution has a significant effect, supporting H5c, while the expected positive effect of customer knowledge is not supported and H5d is rejected. Furthermore, the expected negative effect of aggressive sales influence is not confirmed and H5e is also rejected. The results are summarized in Figure 2.

DISCUSSION AND SUGGESTIONS FOR FUTURE RESEARCH

Theoretical Implications

The results from the study demonstrate the central role of the salesperson in maintaining continuity in established relationships, which parallels the results in past research on the significance of interpersonal attachments (Anderson and Weitz 1989; Larson 1992; Seabright, Levinthal, and Fichman 1992). Furthermore, the results support the perception that relational

FIGURE 2. Final Model of the Estimated Antecedents and Consequences of Salesperson Performance



cooperation is enhanced by a combination of structural bondings and interpersonal relationships (e.g., Berry 1995). The findings do not support the view that the salesperson is superfluous in established relationships characterized by a high degree of repetitive transactions. Salesperson performance affects the buyer's desire for business continuity both directly and indirectly through supplier reliability, underscoring the coordinator and relationship manager role of the salesperson proposed in the literature (O'Neal 1989; Crosby, Evans, and Cowles 1990; Webster 1992). The fact that the buyer also perceives the salesperson to influence supplier services reinforces that role. However, the study also shows that the performance of the salesperson is moderated by other organizational functions and by characteristics of the buyer-seller relationship (Crosby and Stephens 1987; Gummesson 1991; Weitz 1981). In spite of the significant effect of the salesperson performance on continuity, the salesperson did not influence the buyer's perceived dependence on the supplier, which contradicted our hypothesis. Thus, a good salesperson is a positive factor for the continuation of the relationship, but does not act as a barrier to switching. However, inspection of the modification indices suggests an effect of the salesperson's customer knowledge and skills in conflict handling on dependence. These effects indicate that relationship specific competence of the salesperson could influence dependence on the supplier, as hypothesized, while the other salesperson behaviors and skills seem to enhance the relationship rather than create switching barriers.

Reliability of the supplier acts as both a mediator and moderator of salesperson performance. As the results of this study indicate, the purchases of the buyers to a large extent are governed by production plans. The buyers therefore have to rely on their suppliers for the effective functioning of their firms. Reliability could be perceived as certainty in the provision of supply both with respect to quality, quantity, and time. The positive effect of reliability might therefore be seen as a reduction of uncertainty and transactions costs, being important elements of relational cooperation (Heide 1994). The finding that perceived dependence on the supplier influences the buyer's motivation to continue the relationship might not be surprising. Several studies support that result (i.e., Ganesan 1994; Johanson, Hallén, and Seyed-Mohamed 1991). More surprising is the finding that supplier services do not affect continuity. However, inspection of the modification indices suggests that supplier services affect dependence and therefore have an indirect effect on continuity. One explanation can be that supplier services affect continuity only to the degree that they serve as a means of differentiation from competing suppliers and can be regarded as relationship-specific activities. Although services intended to support the buyer do not have a direct effect on relationship continuity, they may be important as facilitators for developing a dialogue with the customer and giving the supplier information and understanding of current and future customer needs (Kohli and Jaworski 1990). However, the lack of a direct effect on continuity implies that managers should be careful about how resources are allocated to such services (Anderson and Narus 1991; 1995).

Among the selling behaviors and skills investigated in this study, we find that personal relationships, ability to resolve conflicts, and ability to mediate information are key determinants of salesperson performance within established relationships. Those factors indicate the importance of the salesperson's abilities in managing the relationship process, as well as they reflect the bi-directional and cooperative aspect of relationship selling (Crosby, Evans, and Cowles 1990). Surprisingly, the salesperson's customer knowledge did not have the expected effect in our study. A plausible explanation may be that knowledge or competence works through information exchange as a facilitator, and by itself does not have an effect (Anderson and Weitz 1989). Furthermore, the modification indices indicate that customer knowledge has a direct effect on supplier services and dependence on the supplier. This suggests that a salesperson who has good knowledge about the customer's needs may be perceived to be successful in managing and providing competence resources from other organizational functions such as R&D, production, and logistics. Use of aggressive selling techniques does not seem to have the expected negative effect when we control for the effects of other salesperson characteristics. However, it is important to note that the effect is not positive either. The raw correlation between aggressiveness and salesperson performance is negative, and the modification indices suggest a direct, negative path between aggressiveness and continuity. Salespersons should therefore be careful about using such techniques when the objective is to achieve a cooperative business relationship.

When summing up our results, three of five hypothesized effects of selling behaviors and skills on salesperson performance in the investigated relationships were confirmed. However, the modification indices suggest other paths than hypothesized. These results indicate that the proposed behaviors and skills variables might affect the relationship, even if they are not mediated by our salesperson performance measure.

Managerial Implications

Our study illustrates the broad role of the salesperson within established buyer-supplier relationships as "a strategist, a partner, a resource manager, a marketer, a pulse of the company, and a confidant" (Stern and El-Ansary 1992, p. 478), with consequences for recruitment, training, motivating, organizing, and setting objectives for the salesforce. The results suggest that the salesperson has a substantial influence on the buyer's motivation to continue the relationship, and thus on the long-term revenues from the customer. Top managers therefore should recognize the sales function within established relationships as a long-term marketing effort. As noted, the results suggest that relational cooperation is enhanced by a combination of structural bondings and interpersonal relationships (Berry 1995; Seabright, Levinthal, and Fichman 1992). In industrial selling the managerial challenge should be to both design the incentives and structures for interfirm cooperation, and to make the cooperation function by coordinating the various functions and departments responsible for fulfillment of agreements and obligations (Gummesson 1991; Kohli and Jaworski 1990). Hence, the sales function must be in a position both formally and informally to execute internal influence and authority.

Our results suggest that services could create switching barriers by increasing dependence on the supplier. One implication could be that by engaging in problem solving activities the supplier demonstrates willingness to commit competitive resources to the relationship. The challenge of the salesperson will be to commit and develop relationship specific resources which increase the attractiveness of the relationship with the supplier (Anderson and Weitz 1992; Morgan and Hunt 1994). The combination of information exchange and customer knowledge should be appropriate means for developing attractive value adding services.

When discussing sales performance measures in long-term marketing relationships, we recognize the importance of the traditional sales performance measures. However, these performance measures may be an outcome rather than a determinant of the continuity of the relationship (Crosby, Evans, and Cowles 1990). One important objective for the salesperson is to promote relational cooperation. Hence, a sales performance measure that reflects relationship enhancement should be adopted.

The salesforce management literature has discussed behaviors and skills affecting sales performance (Churchill et al. 1985; Crosby, Evans, and Cowles 1990; Sujan, Weitz, and Kumar 1994; Weitz 1981). Churchill et al. (1985) suggest that characteristics which can be influenced through increased training and experience or more effective company policies and procedures might have a greater impact on performance than aptitude and personal/physical traits. They also note the significance of hiring salespeople with previous experience in the same or previous industries. Information exchange and conflict resolution are behaviors and skills that can be influenced by experience and training and therefore should be emphasized in relationship management training. Personal relationship between the salesperson and the buyer, however, might be the combined result of both experience, long-term interactions, and personality traits. The significance of personal relationship in relationship selling, as our results indicate, suggests that managers should be careful both in selecting salespeople who will match the customer (Ouchi 1979; 1980), and in designing policies that will reduce turnover once the right person is selected.

LIMITATIONS AND FUTURE RESEARCH

The results suggest that a better model could be obtained by a respecification. The results also indicate that the measure of salesperson performance as in long-term relationships could be improved, as well as some scales with marginal reliability. A more general limitation is the direction of the causal paths when using a survey method to study interorganizational processes. As other researchers have observed (e.g., Anderson 1995), variables that are antecedents at one stage of the process, become outcomes at another stage. One example is satisfaction and cooperation. Satisfaction stimulates cooperation which in turn affects satisfaction. Specific to our study are the paths between salesperson performance and supplier reliability and services. Our argument is that performance affects supplier reliability and services. However, it might be possible that the process goes like this: The salesperson cooperates with other organizational functions. When he or she acts as promised, by reliable deliveries or value adding activities, the salesperson gets the credit and is perceived to be a good performer. The study of Crosby and Stephens (1987) support both causal possibilities.

One direction for future research therefore could be to develop a better measure for salesperson performance in long-term marketing relationships where both relational, financial and other aspects are taken into consideration. Another direction for future research is the further development of a contingency framework and exploration of different types of relationships. For example, researchers could explore how balanced versus imbalanced dependency (i.e., Buchanan 1992; Cook and Emerson 1984) influences the effect of various salesperson behaviors and skills on relationship continuity. Other typologies could be related to differences across industries (Jackson 1985), bilateral or unilateral relationships (Heide 1994), and maturity of the relationship (Ring and Van de Ven 1994). Researchers should also explore how marketing functions in general change as the nature of buyer-seller relationships changes, in terms of both the content of the functions and their effect on marketing objectives.

A third direction for future research is to explore the nature and effectiveness of salesperson behaviors in partner types of relationships characterized by high levels of interdependence and risk sharing. Bonoma (1976) suggested that a joint utility function distinguishes close bilateral relationships from looser forms. The mere existence, formation, and nature of such a joint utility function could be important dimensions to investigate further. Some leading companies such as IBM employ key-account managers to handle large accounts and strategic customers. We believe many companies today want more knowledge about the role of the salesperson in buyer-seller partnerships.

REFERENCES

Anderson, Erin (1985), "The Salesperson as Outside Agent or Employee: A Transaction Cost Analysis," *Marketing Science*, 4 (Summer), 234-54.

__________ and Richard L. Oliver (1987), "Perspectives on Behavioral Based versus Outcome-Based Sales Force Control Systems," *Journal of Marketing*, 51 (October), 76-88.

__________ and Barton Weitz (1989), "Determinants of Continuity in Conventional Industrial Channel Dyads," *Marketing Science*, 8 (Fall), 310-23.

__________ and __________ (1992), "The Use of Pledges to Build and Sustain Commitment in Distribution Channels," *Journal of Marketing Research*, 29 (February), 18-34.

Anderson, James C. (1995), "Relationships in Business Markets: Exchange Episodes, Value Creation, and Their Empirical Assessment," *Journal of the Academy of Marketing Science*, 23 (4), 346-350.

__________ and David W. Gerbing (1988), "Structural Equation Modeling in Practice: A Review and Recommended Two-Step Approach," *Psychological Bulletin*, 103 (3), 411-423.

__________ and James A. Narus (1984), "A Model of the Distributor's Perspective of Distributor-Manufacturer Working Relationships," *Journal of Marketing*, 48 (Autumn), 62-74.

__________ and __________ (1990), "A Model of Distributor Firm and Manufacturer Firm Working Partnerships," *Journal of Marketing*, 54 (January), 42-58.

__________ and __________ (1991), "Partnering as a Focused Market Strategy," *California Managment Review*, 33, 7(Spring), 95-113.

__________ and __________ (1995), "Capturing the Value of Supplementary Services," *Harvard Business Review*, 73 (January-February), 75-83.

Armstrong, J. Scott and Terry S. Overton (1977), "Estimating Nonresponse Bias in Mail Surveys," *Journal of Marketing Research*, 14 (August), 396-402.

Arndt, Johan (1979), "Toward a Concept of Domesticated Markets," *Journal of Marketing*, 43 (Fall), 69-75.

__________ (1983), "The Political Economy Paradigm: Foundation for Theory Building in Marketing," *Journal of Marketing*, 47 (Fall), 44-54.

Asmus, David and John Griffin (1993), "Harnessing the Power of Your Suppliers," *Mckinsey Quarterly*, 3, 63-78.

Axelrod, Robert (1984), *The Evolution of Cooperation*. New York: Basic Books.

Bagozzi, Richard P. (1978), "Salesforce Performance and Satisfaction as a Function of Individual Difference, Interpersonal, and Situational Factors," *Journal of Marketing Research*, 15 (November), 517-31.

__________ and Lynn W. Phillips (1982), "Representing and Testing Organizational Theories," *Administrative Science Quarterly*, 27 (September), 459-89.

Behrman, Douglas N. and William D. Perreault, Jr. (1982), "Measuring the Performance of Industrial Salespersons," *Journal of Business Research*, 10 (September), 355-70.

Bergen, Mark, Shantanu Dutta, and Orville C. Walker, Jr (1992), "Agency Relationships in Marketing, A Review of the Implications and Applications of Agency and Related Theories," *Journal of Marketing,* 56 (July), 1-24.

Berry, Leonard L. (1995), "Relationship Marketing of Services–Growing Interest, Emerging Perspectives," *Journal of the Academy of Marketing Science,* 23 (4), 236-245.

Biong, Harald (1993), "Satisfaction and Loyalty to Suppliers Within the Grocery Trade," *European Journal of Marketing,* 27 (7), 21-38.

Bonoma, Thomas V. (1976), "Conflict, Cooperation and Trust in Three Power Systems," *Behavioral Sciences,* 21 (6), 499-514.

__________ and Wesley J. Johnston (1978), "The Social Psychology of Industrial Buying and Selling," *Industrial Marketing Management*, 17 (4), 213-24.

Bradach, Jeffrey L. and Robert G. Eccles (1989), "Price, Authority and Trust: From Ideal Types to Plural Forms," *Annual Review of Sociology,* 15, 97-118.

Buchanan, Lauranne (1992), "Vertical Trade Relationships: The Role of Dependence and Symmetry in Attaining Organizational Goals," *Journal of Marketing Research,* 29 (February), 65-75.

Byrne, B. and D. Nelson (1965), "Attraction as a Linear Function of Proportion of Positive Reinforcements," *Journal of Personality and Social Psychology,* 1, 659-663.

Cadotte, Ernest R. and Louis Stern (1979), "A Process Model of Interorganizational Relations in Marketing Channels," in *Research in Marketing*, Vol. 2. Jagdish Sheth, ed. Greenwich, CT: JAI Press, Inc.

Campbell, Donald T. (1955), "The Informant in Quantitative Research," *American Journal of Sociology,* 60, 339-42.

Churchill, Gilbert A., Jr., Neil M. Ford, Steven W. Hartley, and Orville C. Walker, Jr. (1985), "The Determinants of Salesperson Performance: A Meta-Analysis," *Journal of Marketing Research,* 22 (May), 103-18.

__________, __________, and Orville C. Walker (1990), *Sales Force Management,* 3rd ed, Homewood, IL: Richard D. Irwin, Inc.

Cook, Karen S. and Richard M. Emerson (1984), "Exchange Networks and the Analysis of Complex Organizations," *Annual Review of Sociology,* 15: 97-118.

Cravens, David W., Ken Grant, Thomas N. Ingram, Raymond W. Laforge, and Clifford Young (1992), "In Search of Excellent Sales Organizations," *European Journal of Marketing,* 26 (1), 6-23.

__________, Thomas N. Ingram, Raymond W. Laforge, and Clifford Young (1993), "Behavior-Based and Outcome-Based Salesforce Control Systems," *Journal of Marketing,* 57 (1), 47-59.

Crosby, Lawrence A. and Nancy Stephens (1987), "Effects of Relationship Marketing on Satisfaction, Retention, and Prices in the Life Insurance Industry," *Journal of Marketing Research*, 24 (November), 404-411.

__________, Kenneth R. Evans, and Deborah Cowles (1990), "Relationship Quality in Services Selling: An Interpersonal Influence Perspective," *Journal of Marketing,* 54 (July), 68-81.

Dwyer, F. Robert and Sejo Oh (1987), "Output Sector Munificence Effects on the Internal Political Economy of Marketing Channels," *Journal of Marketing Research,* 24 (November), 347-358.

_________, Paul H. Schurr, and Sejo Oh (1987), "Developing Buyer-Seller Relations," *Journal of Marketing,* 51 (April), 11-28.

Eisenhardt, Kathleen M. (1985), "Control: Organizational and Economic Approaches," *Management Science,* 31 (February), 134-149.

Emerson, Richard M. (1962), "Power-Dependence Relations," *American Sociological Review,* 27 (February), 31-41.

Farmer, D.H. and K. MacMillan (1976), "Voluntary Collaboration vs. Disloyalty to Suppliers," *Journal of Purchasing and Materials Management,* 3 (Winter), 3-8.

Fierman, Jaclyn (1994), "The Death and Rebirth of the Salesman," *Fortune* (July 25): 120-126.

Ford, David (1980), "The Development of Buyer-Seller Relationships in Industrial Markets," *European Journal of Marketing,* 14 (5/6), 339-53.

Fornell, Claes (1992), "A National Customer Satisfaction Barometer: The Swedish Experience," *Journal of Marketing,* 56 (January), 6-21.

Frazier, Gary L. (1983), "An Interorganizational Exchange Behavior in Marketing Channels: A Broadened Perspective," *Journal of Marketing,* 47 (Fall), 68-78.

_________ and Raymond C. Rody (1991), "The Use of Influence Strategies in Interfirm Relationships in Industrial Product Channels," *Journal of Marketing,* 55 (January), 52-69.

_________, Robert Spekman, and Charles R. O'Neal (1988), "Just-in-Time Exchange Relationships in Industrial Markets," *Journal of Marketing,* 52 (October), 52-67.

_________ and John Summers (1984), "Interfirm Influence Strategies and Their Application Within Marketing Channels," *Journal of Marketing,* 48 (Summer), 38-48.

French, John and Bertram Raven (1959), "The Basis of Social Power," in *Studies in Social Power,* Dorwin Cartwright, ed. Ann Arbor: University of Michigan, 150-167.

Ganesan, Shankar (1994), "Determinants of Long-Term Orientation in Buyer-Seller Relationships," *Journal of Marketing,* 58 (April), 1-19.

Gaski, John F. (1984), "The Theory of Power and Conflict in Channels of Distribution," *Journal of Marketing,* 48 (Summer), 9-29.

Gaski, J.F. and J.R. Nevin (1985), "The Differential Effects of Exercised and Unexercised Power Sources in Marketing Channel," *Journal of Marketing Research,* 12 (May), 130-142.

Gladstein, Deborah L. (1984), "Groups in Context. A Model of Task Group Effectiveness," *Administrative Science Quarterly,* 29 (December), 499-517.

Granovetter, Mark (1985), "Economic Action and Social Structure: The Problem of Embeddedness," *American Journal of Sociology,* 91 (November), 481-510.

Gummesson, Evert (1991), "Marketing-Orientation Revisited: The Crucial Role of the Part-Time Marketer," *European Journal of Marketing,* 25 (2) 60-75.

Håkansson H. and C. Östberg (1975), "Industrial Marketing: An Organizational Problem?" *Industrial Marketing Management,* 4 (June), 113-23.

Heide, Jan B. (1994), "Inter-Organizational Governance in Marketing Channels: Theoretical Perspectives on Forms and Antecedents," *Journal of Marketing,* 58 (January), 71-85.

__________ and George John (1988), "The Role of Dependence Balancing in Safeguarding Transaction Specific Assets in Conventional Channels," *Journal of Marketing,* 52 (January), 20-35.

__________ and _________ (1990), "Alliances in Industrial Purchasing: The Determinants of Joint Action in Buyer-Supplier Relationships," *Journal of Marketing Research,* 27 (February), 24-36.

__________ and _________ (1992), "Do Norms Matter in Marketing Relationships?" *Journal of Marketing,* 56 (April), 32-44.

__________ and Anne S. Miner (1992), "The Shadow of the Future: Effects of Anticipated Interaction and Frequency of Contact on Buyer-Seller Cooperation," *Academy of Management Journal,* 35 (2), 265-91.

Jackson, Barbara (1985), *Winning and Keeping Industrial Customers.* Lexington, MA: Lexington Books.

Johanson, Jan, Lars Hallén, and Nazeem Seyed-Mohamed (1991), "Interfirm Adaptation in Business Relationships," *Journal of Marketing,* 55 (April), 29-37.

John, George and Barton Weitz (1989), "Salesforce Compensation: An Empirical Investigation of Factors Related to Use of Salary versus Incentive Compensation," *Journal of Marketing Research,* 26 (February), 1-14.

Jüttner, Uta and Hans P. Wehrli (1994), "Relationship Marketing from a Value System Perspective," *International Journal of Service Industry Management,* 5 (5), 54-73.

Kanter, Rosabeth Moss (1994), "Collaborative Advantage," *Harvard Business Review,* 72 (July-August), 96-108.

Kohli, Ajay K. and Bernard J. Jaworski (1990), "Market Orientation: The Construct, Research Propositions, and Managerial Implications," *Journal of Marketing,* 54 (April), 1-18.

Kranton, Rachel E. (1996), "The Formation of Cooperative Relationships," *Journal of Law, Economics, and Organization,* 12 (April), 214-233.

Kumar, Nirmalya, Lisa K. Scheer, and Jan-Benedict E. M. Steenkamp (1995), "The Effects of Supplier Fairness on Vulnerable Resellers," *Journal of Marketing Research,* 32 (February), 54-65.

___________, Louis W. Stern and Ravi S. Achrol (1992), "Assessing Reseller Performance from the Perspective of the Supplier," *Journal of Marketing Research,* 29 (May), 238-253.

Lagace, Rosemary R., Robert Dahlstrom, and Jule B. Gassenheimer (1991), "The Relevance of Ethical Salesperson Behavior on Relationship Quality: The Pharmaceutical Industry," *Journal of Personal Selling & Sales Management,* 11 (Fall), 39-47.

Lambert, Douglas M. and Jay U. Sterling (1987), "Establishing Customer Service Strategies Within the Marketing Mix," *Journal of Business Logistics,* 8 (1), 1-30.

Larson, Andrea (1992), "Network Dyads in Entrepreneurial Settings: A Study of the Governance of Exchange Processes," *Administrative Science Quarterly,* 37 (March), 76-104.

Levitt, Theodore (1983), *The Marketing Imagination.* New York: The Free Press.

Macaulay, Stewart (1963), "Non-Contractual Relations in Business," *American Sociology Review,* 28, 55-70.

Macneil, Ian R. (1978), "Contracts: Adjustments of Long-Term Economic Relations Under Classical, Neoclassical, and Relational Contract Law," *Northwestern University Law Review,* 72 (6), 854-905.

Metcalf, Lynn E., Carl L. Frear, and R. Krishnan (1992), "Buyer-Seller Relationships: An Application of the IMP Interaction Model," *European Journal of Marketing,* 26 (2), 27-46.

Morgan, Robert M. and Shelby D. Hunt (1994), "The Commitment-Trust Theory of Relationship Marketing," *Journal of Marketing,* 58 (July), 20-38.

Noordewier, T.G., G. John, and J. Nevin (1990), "Performance Outcomes of Purchasing Arrangements in Industrial Buyer-Vendor Relationships," *Journal of Marketing,* 54 (October), 129-141.

Nunnally, Jum C. (1978), *Psychometric Theory,* 2nd ed. New York: McGraw-Hill Book Company.

O'Neal, Charles O. (1989), "JIT Procurement and Relationship Marketing," *Industrial Marketing Management,* 18, 55-63.

Ouchi, William G. (1979), "A Conceptual Framework for the Design of Organizational Control Mechanisms," *Management Science,* 25 (9), 833-48.

__________ (1980), "Markets, Bureaucracies, and Clans," *Administrative Science Quarterly,* 25 (March), 129-141.

Pfeffer, Jeffrey and Gerald R. Salancik (1978), *The External Control of Organizations: A Resource Dependence Perspective.* New York: Harper & Row Publishers, Inc.

Rand, Thomas M. and Kenneth N. Wexley (1975), "Demonstration of the Effect, 'Similar to Me,' in Simulated Employment Interviews," *Psychological Reports,* 36, 535-544.

Reve, Torger and Louis W. Stern (1979), "Interorganizational Relations in Marketing Channels," *Academy of Management Review,* 4 (3), 405-16.

Ring, Peter. S. and Andrew H. Van de Ven (1994), "Development Processes of Cooperative Interorganizational Relationships," *Academy of Management Review,* 19 (1), 90-118.

Robicheaux, Robert A. and Adel I. El-Ansary (1975), "A General Model for Understanding Channel Member Behavior," *Journal of Retailing,* 52 (4), 13-30/94.

Seabright, Mark A., Daniel A. Levinthal, and Mark Fichman (1992), "Role of Individual Attachments in the Dissolution of Interorganizational Relationships," *Academy of Management Journal,* 35 (1), 122-160.

Shapiro, Benson P. and Rowland T. Moriarty (1982), "National Account Management: Emerging Insights," Report No. 82-100: Marketing Science Institute, Cambridge, MA.

Sheth, Jagdish N. and Atul Parvatiyar (1992), "Towards a Theory of Business Alliance Formation," *Scandinavian International Business Review,* 1 (3), 71-87.

Stern, Louis W. and Adel I. El-Ansary (1992), *Marketing Channels,* 4th ed. Englewood Cliffs, NJ: Prentice-Hall, Inc.

Stump, Rodney L. and Jan B. Heide (1996), "Controlling Supplier Opportunism in Industrial Relationships," *Journal of Marketing Research,* 33 (November), 431-441.

Sujan, Harish, Barton Weitz, and Nirmalya Kumar (1994), "Learning Orientation, Working Smart, and Effective Selling," *Journal of Marketing,* 58 (July), 39-52.

Swan, John E., I. Fredrick Trawick, and David W. Silva (1985), "How Industrial Salespeople Gain Customer Trust," *Industrial Marketing Management,* 14 (3), 203-11.

Telser, L.G. (1980), "A Theory of Self-Enforcing Agreements," *Journal of Business,* 53 (1), 27-44.

Webster, Frederick E. (1991), *Industrial Marketing Strategy,* 3rd ed. New York: John Wiley & Sons, Inc.

Webster, Frederick E. (1992), "The Changing Role of Marketing in the Corporation," *Journal of Marketing,* 56 (October), 1-17.

Weitz, Barton A. (1981), "Effectiveness in Sales Interactions: A Contingency Framework," *Journal of Marketing,* 45 (Winter), 85-103.

__________, Harish Sujan, and Mita Sujan (1986), "Knowledge, Motivation, and Adaptive Behavior: A Framework for Improving Selling Effectiveness," *Journal of Marketing,* 50 (October), 174-91.

Williamson, Oliver E. (1979), "Transaction Cost Economics: The Governance of Contractual Relations," *Journal of Law and Economics,* 22, 233-261.

__________ (1985), *The Economic Institutions of Capitalism.* New York: Free Press.

__________ (1991), "Strategizing, Economizing, and Economic Organization," *Strategic Management Journal,* 12 (Winter), 75-94.

__________ (1994), "Transaction Cost Economics and Organization Theory," in *The Handbook of Economic Sociology,* N.J. Smelser and R. Sweddery, eds. Princeton, NJ: Princeton University Press, 77-107.

__________ (1996), "Economic Organization: The Case for Candor," *Academy of Management Review,* 12 (Winter), 75-94.

Williams, Alvin J. and John Seminerio (1985), "What Buyers Like from Salesmen," *Industrial Marketing Management,* 14 (May), 75-78.

Wilson, David T. (1995), "An Integrated Model of Buyer-Seller Relationships," *Journal of the Academy of Marketing Science*, 23 (4), 335-345.
Zajac, Edward J. and Cyrus P. Olsen (1993), "From Transaction Cost to Transactional Value Analysis: Implications for the Study of Interorganizational Strategies," *Journal of Management Studies*, 30 (January), 131-145.

APPENDIX

Scale Items

E1. Continuation of the relationship (CONTIN)

(3-item, 6-point scale; items 1 and 2 anchored by 1 = "Completely disagree" and 6 = "Completely agree" and item 3 anchored by 1 = "Very little likely" and 6 = "Very likely")

1. Our firm will very much like to continue to cooperate with this supplier in the future!
2. It has to be a major thing if our firm should stop buying from this supplier!
3. How large is the probability of buying an equally large or larger share of the product/components from this supplier next year?

E2. Salesperson performance (SALPER)

(3-item, 6-point scale anchored by 1 = "Completely disagree" and 6 = "Completely agree")

4. The salesperson is achieving good results within this company!
5. The salesperson is strengthening the supplier's position within this company!
6. We are very satisfied with the salesperson from this supplier!

E3. Supplier reliability (RELIAB)

(4-item, 6-point scale anchored by 1 = "To a very little degree" and 6 = "To a very high degree")

7. The supplier is fulfilling the quality norms as agreed upon!
8. The supplier is delivering according to the schedule agreed upon!

9. The supplier is delivering the quantities as agreed upon!
10. The supplier keeps the appointed price!

E4. Supplier services (SUPSER)

(4-item, 6-point scale anchored by 1 = "To a very little degree" and 6 = "To a very high degree")

11. The supplier provides our company with technical services related to the use of the supplier's products.
12. The supplier contributes to solving our production problems related to the application of the supplier's products!
13. The supplier contributes to solving problems when we change our products or product specifications!
14. The supplier contributes to new and efficient solutions for the construction of our products!

E5. Dependence on supplier (DEPEND)

(3-item, 6-point scale anchored by 1 = "Completely disagree" and 6 = "Completely agree")

15. Physical and/or mental costs would be high if we were to change the supplier of the products that we purchase from this supplier!
16. We have made large adjustments in our production and in our coordination routines in order to buy from this supplier!
17. Our company feels very dependent on this supplier!

K1. Information exchange (INFEXC)

(2-item, 6-point scale anchored by 1 = "To a very little degree" and 6 = "To a very high degree")

1. The salesperson provides information about the supplier's stock-situation, production capacity, prices, and calculations.
2. The salesperson acquires or receives information about our stock-situation and expected production/sales.

K2. Personal relationship (PERSON)

(4-item, 6-point scale anchored by 1 = "Completely disagree" and 6 = "Completely agree")

3. The salesperson is a person with whom I have a good personal relation at a professional level!
4. The salesperson gets along well, as a person, with other departments of this company like production, research and development, and marketing.
5. The salesperson is quite similar to me in values and norms, and also in how we reason!
6. The salesperson understands the business mentality of this country!

K3. Conflict resolution (CNFLCT)

(2-item, 6-point scale anchored by 1 = "Completely disagree" and 6 = "Completely agree")

7. The salesperson has the ability to make sure that conflicts don't arise in the working relationship between our two firms.
8. The salesperson has the ability to solve conflicts or disagreements before they create problems in our working relationship.

K4. Customer knowledge (CUSKNO)

(3-item, 6-point scale anchored by 1 = "Completely disagree" and 6 = "Completely agree")

9. The salesperson has good knowledge about our firm and our production methods.
10. The salesperson has good knowledge about our products and their application.
11. The salesperson has good knowledge about the market situation and the market development for our products.

K5. Aggressive sales influence (AGRINF)

(3-item, 6-point scale anchored by 1 = "To a very little degree" and 6 = "To a very high degree")

12. When we interact, the salesperson is concerned only with presenting the product, selling the company's products, and taking orders.
13. The salesperson is aggressive.
14. The salesperson works intensely to make our company buy the supplier's products, even when we say that we have no need.